1. Which of the following best explains the difference between the short run and the long run in production theory?

A. The short run is always less than one year.
B. All inputs are variable in the short run.
C. At least one input is fixed in the short run, while all inputs are variable in the long run.
D. Firms cannot change their output in the short run.

2. Why does the marginal cost (MC) curve typically slope upward after a certain level of output in the short run?

A. Fixed costs increase as output increases.
B. The law of diminishing marginal returns causes additional output to become more costly.
C. Average fixed cost increases with output.
D. Firms experience economies of scale.

3. When marginal cost (MC) is greater than average total cost (ATC), which statement is correct?

A. ATC is decreasing.
B. ATC is increasing.
C. ATC is at its minimum.
D. Total cost is decreasing.

4. Why does the average total cost (ATC) curve typically have a U-shape in the short run?

A. Both average fixed cost and average variable cost always decrease.
B. Marginal cost remains constant.
C. Initially, falling average fixed cost dominates, but eventually rising average variable cost dominates.
D. Fixed costs increase with output.

5. Which statement best describes economies of scale?

A. Average cost increases as output expands in the short run.
B. Total cost decreases as output increases.
C. Long-run average cost decreases as the scale of production increases.
D. Marginal cost is always below average variable cost.

6. Why is an individual firm in a perfectly competitive market considered a price taker?

A. The government determines the market price.
B. Firms produce differentiated products.
C. Each firm supplies only a small fraction of total market output and cannot individually influence the market price.
D. Firms cooperate to determine prices.

7. Why is the demand curve facing an individual perfectly competitive firm horizontal?

A. Market demand is perfectly elastic.
B. The firm can sell its output at the prevailing market price but cannot charge a higher price.
C. The firm has complete control over price.
D. Marginal cost remains constant.

8. Why does a profit-maximizing perfectly competitive firm produce where marginal revenue equals marginal cost?

A. Total revenue is maximized at this point.
B. Average total cost is always minimized at this point.
C. Producing additional units beyond this point would add more to cost than to revenue, assuming marginal cost is rising.
D. Economic profit must equal zero at this point.

9. A perfectly competitive firm is making an economic loss in the short run. Under which condition should it continue producing?

A. Price is below minimum average variable cost.
B. Price covers average variable cost at the chosen output, even if it does not cover average total cost.
C. Total revenue is less than total variable cost.
D. Marginal revenue is always below marginal cost.

10.What is the main difference between a firm's shutdown decision and its exit decision?

A. Shutdown is a long-run decision, while exit is a short-run decision.
B. Shutdown and exit are identical decisions.
C. Shutdown is a short-run decision based on variable costs, while exit is a long-run decision based on total economic costs.
D. A firm shuts down whenever economic profit is negative.

11. Why do perfectly competitive firms earn zero economic profit in long-run equilibrium?

A. Firms do not receive any revenue.
B. Competition eliminates all accounting profits.
C. Free entry and exit eliminate positive and negative economic profits.
D. The government regulates profits.